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All the topics of this UPSC IAS Edition are directly or
indirectly important for the prelims & main examination.
There are some topics which can be coded in answer
writing of other topics in the main exam.

UPI AT NICE, PARIS AIRPORTS: MISRI

Trade to AI: India, France set new targets

Modi-Macron
meeting: Plan to
double trade in
5 yrs, adopt
'Innovation
Roadmap 2030'

Shubhajt Roy
New Delhi, June 14

A MECHANISM to double annual bilateral trade from the existing \$16 billion in five years; an India-France Innovation Roadmap 2030; a joint working group focussed on AI (artificial intelligence) governance; an economic security dialogue; increased cooperation on defence and space — these were among the key outcomes of the

»CONTINUED ON PAGE 2



PM Narendra Modi with French President Emmanuel Macron in Nice, France, Sunday. X/@ELYSEE

POLITICS PAGE 6

PM: INDIA TECH PROVIDER, OFFERS GLOBAL SOLUTIONS

In NCERT Art textbook, 'Dancing Girl' covered up

Ritika Chopra
Mumbai, June 14

AN IMAGE of one of the most recognisable artefacts of the Indus Valley Civilisation, the iconic "Dancing Girl" of Mohenjo-daro, appears in a new avatar in an NCERT textbook —

with the bare torso covered. This is despite the fact that at an earlier discussion related to the famous bronze figurine, one of the Government's own experts had pushed back, and prevailed, over objections raised by some members of

»CONTINUED ON PAGE 2



The photo with masked torso in the new arts education textbook for Class 9; (right) the photo in the new Class 6 Social Science textbook

Israel hits Beirut, Trump says deal close, 'all sides should stand down'

Parisa Hafezi & Phil Stewart
Dubai, Washington, June 14

PRESIDENT DONALD Trump criticised an Israeli strike on Lebanon that could complicate attempts to finalise a framework

deal between the United States and Iran on Sunday on ending their war, but said an agreement was nonetheless close.

Iranian negotiator Mohammad Baqer Qalibaf said Israel's

»CONTINUED ON PAGE 2

The contamination beneath

Water contamination, shortages in some of South Delhi's most affluent neighbourhoods this summer expose the strain on ageing infrastructure and raise questions about the reliability of the Capital's water supply, reports **Sophiya Mathew**

Inside a white metal cabin beside Gate 2 of Gulmohar Park in South Delhi, residents have begun reading numbers they never expected to care about.
Chlorine: 0.63 mg/l.
pH: 7.08.
Turbidity: 0.43 NTU.
The readings appeared on June 11 on a newly installed online water analyser that continuously monitors the quality of water entering one of South Delhi's most affluent societies before it reaches homes.

Installed after a three-week contamination scare, the Delhi Jal Board (DJB) is testing the system in Gulmohar Park before deciding on a wider rollout. The analyser tracks key indicators: if the water is too acidic, if enough disinfectant remains to help keep it safe, and how clear it is.

For residents, those readings have become more than data. They have become a way to measure whether or not normalcy is returning.

Just weeks earlier, many had stopped trusting the water coming from their taps.

Across parts of South Delhi — including Gulmohar Park, Hauz Khas, Sarvodaya Enclave, and Green Park — residents say this summer exposed a troubling reality: a deteriorating water and sewer system alongside recurring seasonal shortages.

Behind incidents of foul-smelling tap water, sewage contamination, and weeks of flushing operations, residents point to an ageing underground network strained by construction activity, rising demand, overloaded sewers, and utility maps that, in some areas, no longer exist.

"This entire saga started somewhere around May 22," recalled Atul Bal, president of the Gulmohar Park RWA.

Some residents said the water smelled foul. Others described murky supply. Families reported falling sick.

WhatsApp groups filled with photographs of contaminated water and questions no one seemed able to answer: Was the contamination coming from inside the colony? From outside?

Officials spent days tracing possible sources.

Bal said one suspected point emerged near B Block, where houses under construction had temporary toilets allegedly positioned above a water pipeline. The structures were removed. Attention then shifted to Gate 2, where Delhi Jal Board teams dug up the area and found a punctured pipe.

But the problem did not disappear. Residents said contamination continued to move through the colony's ageing internal network for nearly two weeks.

"Since contamination existed for almost two weeks across the pipeline in the colony, which is almost 60 years old now, residual contamination was still there," Bal said. The colony eventually began flushing pipelines from the tail end to push out what remained inside, Bal said.

After weeks of disruption, the answer was continuous monitoring. For residents, the analyser offers reassurance.

For Gulmohar Park residents, the three-week disruption extended beyond bad-smelling water. The daily-life toll was significant, the residents said. Several among them missed work because of illness, some spent money on treatment and tank cleaning, and others paid for private water. "Overall, the quality of life had gone down," Bal said.

Vimal Bhan, vice-president of the RWA, said his own health deteriorated during the episode. "My wife and several other neighbours also fell sick," he said. Low pressure created another problem. Bhan said household pumps began pulling harder and damaging ferrules. "When the pressure was low, my pump pulled and the ferrules got



damaged," he recalls.

Several residents eventually dug up their own service lines and replaced ferrules before realising some of the remaining issues lay within household connections. The colony also had to run a parallel water supply operation while repairs were underway, the residents said.

Bal said the RWA coordinated with DJB for tankers "It was a mammoth exercise — a colony of 700 houses, most of them asking for water," he said. At one stage, 13 tankers operated in shifts, making around 30-35 trips, carrying 10,000 litres each. But even that did not reach everyone.

Some residents bought private tanker water, especially those dependent on overhead tanks or unwilling to return to piped supply.

A few kilometres away, in Hauz Khas Village's Y Block, amid the simmering mid-June heat, the crisis remained visible in trenches and exposed service lines as workers replaced old pipes.

Standing near the dug-up stretch, Prakash Chand Gupta, a Y Block resident, described what had been coming through the taps. "*Nalla ka paani aata hai, ek dam kala*. (Sewage-mixed water comes in, completely black.) It has been ten days." His family had been arranging drinking water separately.

"This work has been going on for four days now," he said, expressing hope that repairs would bring relief. "Mostly by this evening... it will get fixed..."

Residents estimated that around 200 people in the area had faced water contamination issues this summer.

Nearby, Manoranjan Singh, chief of the federation of RWAs in Hauz Khas, pointed to the underground tank at his house.

"Look... you can't see the bottom. It is so dirty. Earlier it wasn't like this at all. We could clearly see the bottom."

Residents linked the crisis to ageing infrastructure, intermittent supply and low pressure. Gaurav Sharma, secretary of the RWA of Geeta Bhavan Lane in Hauz Khas, explained that empty pipelines can become vulnerable to contamination.

"When the water stops, there's no water in the pipeline," he said. If sewage accumulates nearby, he said, contaminated water can enter through weak points. "When fresh water comes from behind, it pushes all that sewage into the next few houses."

Singh argued that uneven demand and erratic supply had worsened the situation. "There is no checking nor limits imposed. By the time heavy demands of the first few residences are met, the tail-end houses get really poor supply. The erratic timings of the water supply has been another concern," he said.

In Sarvodaya Enclave, RWA head Shafali Mittal said a similar episode surfaced in the first week of May at the end of one lane, affecting around 10 houses.

Before residents realised the scale of the issue, she said, some had already got diarrhoea. "We wouldn't have ever known," Mittal said.

"One person wrote that the water is smelly. Then the entire group started speaking up."

DJB teams later dug up the pipeline and



(Anti-clockwise from above) A newly installed water analyser; maintenance work underway in Hauz Khas in New Delhi on Saturday. PRAVEEN KHANNA

• DJB COMPLAINTS AND WATER SAMPLES TESTED OVER THE LAST YEAR

Month & Year	Collected	Satisfactory	Unsatisfactory	Main affected zones (Total count)
Jan 2025	1,130	1,111	19	Dwarka (8), Nangloi (3), Wazirabad (3), Greater Kailash (2)
Feb 2025	2,413	2,390	23	Nangloi (9), Greater Kailash (6), Bhagirathi (4), Wazirabad (1), Okhla (1)
Mar 2025	1,150	1,123	27	Nangloi (9), Wazirabad (7), Dwarka (4)
Apr 2025	464	453	11	Bhagirathi (4), Greater Kailash (4)
May 2025	1,128	1,111	17	Greater Kailash (5), Nangloi (5), Wazirabad (4), Bhagirathi (2)
June 2025	793	759	34	Bhagirathi (12), Nangloi (9), Dwarka (8), Wazirabad (2)
July 2025	826	811	15	Nangloi (8), Greater Kailash (7)
Aug 2025	700	681	19	Greater Kailash (7), Bhagirathi (6), Nangloi (5)
Sept 2025	421	394	27	Dwarka (9), Bhagirathi (8), Okhla (7)
Oct 2025	714	684	30	Wazirabad (10), Bhagirathi (9), Nangloi (6)
Nov 2025	770	748	22	Greater Kailash (9), Bhagirathi (5), Dwarka (4), Nangloi (1)
Dec 2025	857	843	14	Dwarka (5), Haiderpur (4), Greater Kailash (2), Bhagirathi (2)

found a fault. "Pipes have gotten old. They are corroding," Mittal said, adding that the affected section was replaced.

But the repairs exposed another concern.

"They kept asking us for maps," she said.

"There is no plan. Ours is like a 60-year-old colony."

Mittal said sewer pipelines had come under growing pressure over the years. "Another major problem nobody is talking about is builders," she said.

She pointed to makeshift toilets at construction sites, waste dumped into drains and polishing residue entering sewer lines. "On ground the problem is so visible. Every colony where big constructions are going on, the lane there faces sewer blockage problems. Eventually there are complaints of bad water," she alleged.

In Green Park, the immediate concern has been water shortage.

RWA head Neha Puri said two blocks had received inadequate water supply for nearly 20 days, with the disruption still continuing.

"My own family is also affected," Puri said. "I am currently abroad, but I have had to arrange drinking water for my ageing parents back home."

On June 6, the Municipal Corporation of Delhi issued an advisory for under-construction buildings in Green Park: that no damage be caused to sewer lines, water lines, prohibited labour huts and barred construction material from being stacked on roads.

The Deer Park booster station serves as a key distribution node for Green Park through supply from Haiderpur Water Treatment Plant. Officials said that this summer, falling water levels at Wazirabad reduced production at critical treatment plants by around 40%, worsening both supply shortages and water-quality concerns.



Most Severely Affected

Reason: Low per-capita supply

- Karawal Nagar
- Badli
- Kirari
- Burari

Acute Shortages & Contamination

Reason: multiple localised issues

- Hauz Khas
- Greater Kailash 2
- Janakpuri
- Civil Lines

NCR draft Plan 2041 up for approval, conservation zones yet to be mapped

Jay Mazoomdaar
New Delhi, June 14

DESPITE MULTIPLE directions from the National Green Tribunal (NGT) since 2018, the National Capital Region Planning Board (NCRPB) has yet to map, ground-truth and demarcate Natural Conservation Zones (NCZs) in the draft Regional Plan 2041, scheduled to be considered for approval at the Board's next meeting on June 16.

The NCRPB has overlooked repeated reminders from the Environment Ministry and the Delhi government to include comparative data on land-use changes between the regional plans (RPs) of 2021 and 2041.

Ground-truthing is the process of verifying whether land use and land cover indicated by satellite imagery accurately reflect actual conditions on the ground. In a series of orders between 2018 and 2022, aimed at protecting NCZs and preventing shrinkage, the NGT sought comparative mapping at a scale of 1:50,000 to verify changes between 1999 and 2019 — and for a finer assessment of present land use at 1:10,000 scale or closer using satellite imagery from 2021-22 or later. The separate exercises were required because higher-resolution imagery from 1999 — the base year for RP-2021 — was not available with the National Remote Sensing Centre (NRSC). “The classification scheme of the mapping should be selected in a manner that Natural Conservation Areas are explicitly mapped. Due emphasis should be placed on ground truthing,” the Tribunal ordered in September 2020.

Six years on, the revised draft RP-2041 relied on ISRO's Bhuvan geoportal for "the existing broad land use analysis" based on satellite imagery from 2015-16. There are still no details on NCZs in terms of area, coordinates or encroachments, nor any mention of commissioning mapping work using more recent, finer-resolution imagery.

In April 2022, the NGT reiterated that violations, including “shrinkage of the Aravallis” and other NCZs, noticed on lower-

E. EXPLAINED

Policy impact

The decade-long pendency of field verification and demarcation of Natural Conservation Zones affects planning and policy-making. The absence of clearly marked boundaries also makes it difficult to identify violations of land use and enforce accountability.

resolution images were not to be ignored. "Once violations have been identified, then with the use of high-resolution maps... violators can be identified and action initiated as per law," the order said.

Yet, the revised draft RP-2041, which is up for approval this week, offers only broad guidelines and a low-resolution “tentative map” of NCZ areas, saying the “extent of natural features under NCZ will be identified, ascertained and delineated by the NCR participating States in accordance with above definition using ground truthing and revenue records, etc”.

This echoes the NCRPB's September 2019 position that Regional Plan "may have schematic maps presenting the broad policies....and detailing of the maps at the scale of 1:10,000 and below along with ground

● Land use in NCR: 1986-2016

	1986	1999	2012	2016
Category	(in sq km)			
Built-up	988	2,635	3,724	4,569
Agriculture	26,506	24,050	26,450	45,030
Forests	775	1,215	1,127	1,801
Water bodies	32	242	231	873
Wastelands#	1,859	2,005	2,346	2,511
Others**	82	95	266	360
Total NCR	30,242	30,242	34,144	55,144

GULLIED, SALINE, WATERLOGGED, BARREN, ROCKY AND RIVER SAND AREAS

** STONE QUARRY, BRICK KILN ETC;

SOURCE: NCRPB

truthing and detailed planning may be left to the states”.

In 2012, the NCRPB asked the four NCR states — Delhi, Haryana, UP and Rajasthan — to explain the loss of an estimated 1,014 sq km of NCZ areas. Seven years later, the NGT observed in November 2019: “The plea of the concerned States is that ground truthing has yet to be done. Such exercise cannot be unending.”

When contacted, NCRPB member secretary Gulzar Natarajan said: "We had meetings with the Environment Ministry. I am not aware of anything pending as of now." He did not respond to a query on whether the NCRPB could identify NCZ violations if boundaries were delineated by states without a central mapping exercise by an expert agency, such as the NRSC.

In July 2022, the Delhi gov-

view," the ministry wrote.

In response to both, the NCRPB noted “the matter has been discussed at senior levels of the Government of India and further action is proposed accordingly in the draft final revised Regional Plan 2041”.

However, the draft final revised RP-2041 still lacks comparable data to identify land-use changes between 1999 and 2019. “Since RP-2021 was released, the NCR area has increased by more than 60% from 34,144 sq km to 55,144 sq km. So unless specific area-for-area data is provided, it is not possible to assess land-use changes from state-level data,” said a former Environment Ministry official.

Records show the NRSC had submitted a proposal in September 2020 to complete the mapping work in 12 months for “an estimated cost of Rs 1.86 crore”. The NCRPB refused to provide budgetary support in December 2020. In April 2021, the NGT reiterated its order.

A senior Environment Ministry official said: “We conveyed our views but didn’t think it appropriate to push beyond a point. After all, NCRPB is a statutory body under the Urban Affairs Ministry, and ultimately it’s between them and the NRSC.”

A senior NRSC official declined to comment.

MODI AND MACRON INAUGURATE 'BHARAT INNOVATES' EVENT IN NICE

India a tech provider, offering global solutions: PM in France

Says priority is 'human-centric innovation'

Shubhajit Roy
New Delhi, June 14

UNDERLINING THAT the "world is undergoing a period of unprecedented upheaval", Prime Minister Narendra Modi on Sunday said that India and France have made "concerted efforts" to find solutions to global challenges, and "India is emerging not merely as a consumer of solutions, but as a contributor to them".

Modi made the comments at the inauguration of the 'Bharat Innovates' event in Nice, France, in the presence of French President Emmanuel Macron.

"For the world, this decade is defined by both disruption and development. Amidst conflicts and the escalating impact of climate change, the world is undergoing a period of unprecedented upheaval. Yet, the challenges facing humanity today are matched by equally significant opportunities," he said.

Until a decade ago, Modi



PM Narendra Modi with French President Emmanuel Macron at the 'Bharat Innovates' event in Nice on Sunday. ANI

said, the world viewed India merely as a technology adopter. "Today, India is emerging as a technology provider. Moreover, the innovations and solutions India offers benefit a vast segment of humanity. This is precisely the goal of 'India Innovates.' Bharat Innovates is an invitation to the world to co-create the next chapter of global innovation with India," he said.

"An India that is emerging not merely as a consumer of

solutions, but as a contributor to them. Some are working to transform rural life using AI, while others are utilising satellite technology to assist farmers. Young innovators are building the future through smart cities, advanced manufacturing, and new materials. Others are ensuring a sustainable future through green hydrogen, electric mobility, and battery technologies. Meanwhile, some start-ups are

developing cutting-edge technologies in the fields of defence and security," Modi said. "Observing your capabilities, I would say: Bharat innovates with scale and speed; Bharat innovates for a sustainable future; and Bharat innovates for the entire world."

"India has demonstrated that innovation and inclusion are not contradictory but complementary. This means that the greatness of any innovation lies not merely in its evaluation, but in its human impact," he said. "Today, the world is looking towards technologies that are reliable, inclusive, human-centric, and aimed at the global good. In such times, India's priority is technology for humanity, human-centric innovation."

Addressing Macron, Modi said: "During your recent visit to India, you stated that India and France must come together to address the challenges of this century. Today, I can proudly say that this initiative is a step in that very direction."

"Countries across the world trade with one another and form strategic partnerships; however, there are certain relationships that are driven not only by shared interests but also

by a shared vision. The relationship between India and France is precisely of this nature," he said. "This relationship embodies connection and conviction; innovation and inspiration; shared values and a shared vision. Building upon this foundation, we have launched new initiatives together over the past few years, given direction to new ideas, and made concerted efforts to find solutions to global challenges," Modi said.

In his address at the event, Macron said that France respects the Make-in-India initiative and that Paris has been part of it in diverse sectors. Describing India as a "country of innovation", he said New Delhi and Paris have a "true partnership" in critical sectors like AI and climate change. There is scope to expand bilateral cooperation in the civil nuclear energy sector, including in the area of Small Modular Reactors, he said.

Bharat Innovates, a 3-day event, brings together top innovation start-ups from India, France and the world. More than 120 Indian companies/startups and prominent business leaders, investors and CEOs from France and other countries are participating. **WITH PTI**

India, China in talks over joint UNESCO nomination for Xuanzang's work

Divya A
New Delhi, June 14

TO SPEED up the process of safeguarding heritage, the BRICS countries are deliberating on filing joint nominations for various UNESCO lists. In this line, India and China are in advanced stages of discussions over a joint nomination for "The Great Tang Records on the Western Regions", a narrative of Chinese Buddhist monk and scholar Xuanzang's travels through medieval India in the 7th century.

The proposal, led by China and to be supported by India, is presently under consideration with the Ministry of External Af-

fairs, as per sources. China had earlier reached out through diplomatic channels to convey an interest in pursuing a joint nomination for an inscription in UNESCO's Intangible Cultural Heritage List.

The accounts of Xuanzang, also known as Hiuen Tsang, who spent 19 years travelling through India, remain a source for the study of early medieval India. He studied at the Nalanda University and captured the political, social and religious practices of the time in his accounts.

India also aims at securing a place for Panchatantra on the UNESCO list along with Iran as

E. EXPLAINED

Why joint nominations

The idea is to skip the queue since each country is allowed only two dossiers during the two-year cycle of UNESCO heritage lists, and most BRICS nations have a lot of heritage that needs safeguarding. As per officials, there is no limit on nations filing joint nominations, with the dossier led by one country, backed by others.

the fables have been a staple of Persian literature and folklore for over 1,500 years; as also for the philosophy of Satyagraha along with South Africa, official sources told *The Indian Express*.

This has come out of deliberations at the recent BRICS Culture Working Group meet under India's chair, which was attended by delegations from Brazil, China, South Africa, the UAE, Indonesia and Iran, with representatives from Russia, Ethiopia, and Egypt joining in hybrid mode.

The second meeting of the BRICS Culture Working Group was held in Varanasi earlier this month. At the inaugural session,

Union Culture Secretary, Vivek Aggarwal, highlighted BRICS countries are home to some of the world's oldest civilisations while also representing vibrant and evolving contemporary cultural landscapes. The recommendations from the Second Culture Working Group meet will be sent to BRICS Cultural Track ministerial meet in August in Bhopal, so they could be reflected in the joint statement by BRICS Culture Ministers.

At a panel discussion on "Collaborative Approaches for Safeguarding Shared Heritage: Joint Nominations under the UNESCO World Heritage Convention, Intangible Cultural

Heritage, and the Memory of the World Programme", during the meet, delegates explored opportunities for collaborative nominations among BRICS countries.

The idea is to skip the queue by filing joint nominations since each country is allowed only two dossiers during the two-year cycle of UNESCO heritage lists with most BRICS nations having a lot of heritage that needs to be safeguarded. As per officials, there is no limit on countries filing joint nominations, with the dossier led by one country, and supported by others.

In 2017, as India had sent Sowa-Rigpa, the Tibetan system of medicine, as its official entry

for UNESCO's Intangible Cultural Heritage list, China had also sent a similar entry, claiming Sowa-Rigpa as its own.

Ramesh C Gaur, Dean, Indira Gandhi National Centre for the Arts, the government's nodal agency for preparing and presenting these nominations, said, "BRICS nations have a lot of common, overlapping heritage — be it the Ramayana traditions equally popular in India and Indonesia, the Buddhist scriptures common to India and China, or Panchatantra in India and Iran. If we leverage joint nominations, we can achieve a lot towards safeguarding our civilisational heritage."

Ladakh agreement hits roadblock over ‘key omissions’ in fine print

Clause to allow administrative head having a say in posting of bureaucrats omitted from minutes of the meeting

Deeptiman Tiwary
New Delhi, June 14

THE AGREEMENT between the Ministry of Home Affairs and civil society leaders of Ladakh on giving the region a “representative administration” appears to have run into rough weather over non-inclusion of certain points in the minutes of the meeting (MoM) held on May 22, *The Indian Express* has learnt.

Sources said that while a broad agreement has been reached, the MoM prepared by the MHA did not include many crucial points that had been agreed upon. This has led to the Ladakh leaders not signing the MoM. The MHA has also not yet scheduled another meeting.

According to sources, the point of contention is the non-inclusion of a clause that would allow the elected Ladakh administrative head to write the

Annual Performance Appraisal Report of the Chief Secretary and have a say in transfer and posting of bureaucrats. Another omission, sources said, has been that a solution to Ladakh’s demands for Sixth Schedule would be found under a statute modelled on sub-articles A, F and G of Article 371.

“It was the MHA which had come up with a proposal during the last meeting. We had already given our proposal on our demands for Sixth Schedule and statehood. They asked us for flexibility and came up with this Article 371 proposal and self-administration under the UT structure. We accepted it. So we were a bit surprised to not find them mentioned in the MoM,” a Ladakh leader said.

An official of the MHA said that not all fine details are written in the MoM, and largely the broad agreements are men-

tioned. “Things are being worked out,” the official said.

However, another Ladakh leader said, “The issue of services being under the elected administrative head is of great importance to us. We are anyway not being given statehood, not even a UT with legislature as it is elsewhere. We are being given an elected administrative head with executive, legislative and revenue powers. He is merely being called a Chief Minister. If the CM has no jurisdiction over services, he will become toothless. We know what has happened in other UTs. So we have to have it in writing.”

Government sources said this was a minor hiccup and negotiations were on track. Yet, the MHA has not scheduled another meeting with Ladakh leaders. The last meeting with the leaders, held on May 22, was a sub-committee meeting. The meeting of the High-Powered Committee on issues concerning Ladakh — these are held under the leadership of MoS Home Nityanand Rai — is yet to be scheduled.

In a breakthrough after months of protests, negoti-

ations, and political mobilisation in Ladakh, representatives of the Apex Body, Leh (ABL) and Kargil Democratic Alliance (KDA) had on May 22 claimed that they had reached “in-principle understanding” with the Centre on “restoring democracy in Ladakh” and providing “Constitutional safeguards on the lines of Article 371 A, F, and G”, following talks with senior Union Home Ministry officials.

“In this model, the legislative, executive and financial powers will rest with elected representatives through a Union Territory-level legislative body,” the ABL and KDA had said in a statement.

“All bureaucrats of the UT, including the Chief Secretary, will come under the executive head of the UT-level elected body (proposed to be Chief Minister).”

Incidentally, the MHA, which was also supposed to issue an official statement on the agreement, never came out with one.

The May 22 developments had marked the most substantive movement yet on Ladakh’s political demands since the re-

gion was separated from the erstwhile state of J&K and made a Union Territory without a legislature in 2019. While the move was initially welcomed by many in Leh, concerns steadily grew in both Leh and Kargil over the absence of Constitutional safeguards protecting land, jobs and cultural identity, as well as the concentration of administrative authority in the bureaucracy.

The ABL and KDA — umbrella groupings representing civil society, political and religious organisations from Leh and Kargil, respectively — have since jointly spearheaded an agitation demanding statehood, Sixth Schedule status, constitutional protections, a separate Public Service Commission and enhanced parliamentary representation for Ladakh.

The movement gained national prominence through activist Sonam Wangchuk, who was also present in the May 22 meeting. Wangchuk had led fasts and public campaigns pressing the Centre to fulfil assurances made after the 2019 reorganisation of J&K.

The Editorial Page

MONDAY, JUNE 15, 2026

Our parched cities need to make every drop count, recycle water

PARAMESWARAN IYER,
ARUNABHA GHOSH
AND NITIN BASSI

WHAT IS common between Narsinghpur in Madhya Pradesh, Ahmedabad in Gujarat, and Barmer in Rajasthan? These cities have reported maximum daytime temperatures north of 40 °C in the first week of May. The high temperatures have led to water scarcity, driven by high evaporation rates and increased demand for domestic water. For many small cities and towns, private tanker water supply has become a norm during summer. Bigger cities such as Delhi are sourcing water from far-off places, often leading to higher costs and dependence on upper riparian regions.

The annual per capita water availability in India is about 1,500 m³, which is likely to fall below 1,200 m³ by 2050, edging us closer to the water scarcity threshold of 1,000 m³. The reduced water availability, coupled with the water scarcity during scorching summers and increasing heatwaves, calls for more proactive water action. The larger question is what can cities do differently?

One intervention with immense (and thus far unrealised) potential is integrating the reuse of treated used water (domestic sewage), especially for non-potable purposes such as irrigating horticultural crops, land-

scaping, construction, public conveniences, textile manufacturing, lake rejuvenation, and wherever there is no direct contact with humans. As per an analysis by the Council on Energy, Environment and Water (CEEW), this can unlock a market and investment opportunity worth over Rs 3 lakh crore and generate 1,00,000 additional jobs by 2047. Also, implementing a circular water economy will help ease water stress. For instance, Thane city can bridge its existing water deficit of 53 million litres per day through scaling up the reuse of treated used water. Four interrelated actions can unlock these benefits.

First, the policy on water reuse must be complemented by city-specific reuse plans. About 14 Indian states now have water reuse policies. Uttarakhand, UP and Odisha are the latest states to realise seasonal water risks and notify reuse policies. While this is a step in the right direction, city-specific reuse plans are needed, which would have clear targets to address existing water deficits and water quality issues, reuse avenues, reuse water quality requirements, revenue generation options, and implementation mechanisms. Each city has a unique reuse requirement. For instance, in Delhi, Varanasi, and Bengaluru, the priority for water reuse is in agriculture in peri-urban areas, whereas in Chennai, it is for rejuvenating water bodies and lakes, and in Thane, for construction, or for industrial use in Surat.

Second, enable private financing for reuse projects. Urban areas have less than 50 per cent of networked sewage treatment capacity, and less than one-third was actually treated in 2021. There are many reasons for this, including the absence of infrastructure to

Institutional reforms are needed to enable urban local bodies to set up special-purpose instruments to manage reuse projects and convert them into a business opportunity

transport sewage to treatment plants, a lack of human resources to operate a plant, an energy deficit for running the plants, and insufficient allocations for maintenance of treatment plants. Reuse is low and accounts for only a small proportion of total treated volumes. Along with public investments, private investments are needed to strengthen used water treatment and reuse infrastructure. Different models of blended finance are possible: The hybrid annuity model, adopted by the National Mission for Clean Ganga, shares financial risk between the government and the private developer.

Third, there is a need to improve the functionality of sewage treatment plants. Many plants in various cities do not meet the effluent discharge quality standards set by the Central Pollution Control Board. Beyond poor plant maintenance, used water is often mixed with industrial effluents from non-conforming units in unauthorised areas, impairing plant operations. Most of the water treatment plants operate on biological processes that rely on microorganisms. The heavy metals and toxins in industrial effluents kill the bacteria or make them dormant. Although India does have a zero-liquid discharge (ZLD) policy for industries, many small-scale units flout norms and release untreated effluent into drains carrying domestic wastewater. As adopted by cities in the Ganga river basin, local governments can leverage innovations in technology and AI to monitor violations and improve compliance of the plants. Further, they can provide incentives to the industries that follow the rules on proper implementation of ZLD.

Cities in Gujarat that offer financial assistance to industries for setting

up ZLD policies are good examples.

Fourth, create a national circular water mission to shift water management from a linear use-and-dispose approach to a restorative model that maximises its reuse. This will require technological, institutional, financial, and behavioural reforms. Technological reforms should target building more decentralised faecal sludge treatment plants in the growing peri-urban areas. Institutional reforms are needed to enable urban local bodies to set up special-purpose instruments to manage reuse projects and convert them into a business opportunity. Financial instruments must be designed to incentivise those reusing treated used water and reclassify freshwater as an asset class. While the introduction of market-based freshwater pricing for all users should drive efficiency, targeted subsidies must be maintained to protect those at the base of the economic pyramid. Lastly, but importantly, are the behavioural nudges to make used water everyone's business. By shifting public perception, treated used water and its reuse can be made an essential component of life in a city. The recently published study, 'Water, Nature, Progress,' and the Economic Survey of India 2025-26 have laid down the roadmap for a circular water mission in India.

India's journey to Viksit Bharat by 2047 will depend on how boldly it builds water resilience. A circular water economy can be the lighthouse – it can reduce freshwater stress, improve water quality, and secure water for all. India has the political leadership, will, and proof of concept. What it needs now is action — at scale, at speed, and with urgency.

Iyer is India's executive director at the World Bank, Ghosh is founder-CEO CEEW, and Bassi is fellow at CEEW. Views are personal

From tariffs to tankers, ties with US face tough tests

VIVEK
MISHRA

THE SECOND Donald Trump administration will likely mark a decisive turn for most countries. There are peculiar strands that distinguish India from others in how New Delhi's relationship with the US has changed. Existing frameworks may be proving insufficient, indeed redundant in some cases, to guardrail the direction and objectives of the relationship.

Beyond the upheavals over tariff, immigration and the import of Russian oil, the past few weeks alone have witnessed several instances that will be consequential for the bilateral relationship. India has become a target of a new line of tariff of 12.5 per cent which the US Trade Representative has proposed. This acts as a pressure tool amid ongoing trade negotiations.

The US government has also issued an export-control directive to suspend all access to Fable 5 and Mythos 5 by any foreign national, whether inside or outside America. The decision is likely to impact India perhaps more than any other nation, given one of the strongest tech-dependent diasporas and the growing tech-interdependence between the two nations.

But what has drastically added to the strain has been the death of three Indian seafarers in a US strike on a commercial oil tanker. India summoned the US Charge-d'Affaires to launch a protest but the incident itself is likely to ring much louder than just a political démarche. The US has framed its action as enforcement of a naval blockade against Iran. On strict legality, a blockade is a recognised method of warfare under customary international law, including the law of naval warfare. However, the attack has raised questions over trust and strategic coordination that the various frameworks between the two nations promise.

In most cases, the crew, flag and other information of transiting ships is publicly available. It is hard to believe that the US would not have an internal assessment of the presence of another strategic partner's nationals in large numbers on board ships that it was going to attack. Could India have been intimidated timely – a natural expectation under existing strategic frameworks — if the US Navy and the CENTCOM indeed felt that lack of action would have violated the blockade? For sure, a lawful blockade which requires interception, visit, search, and capture or seizure, would have provided the US Navy with ample time to avert a direct strike. Then, there is the question of proportionality in the decision of disable-by-destruction when civilian seafarers are on-board. India also qualifies as a neutral state in this conflict whose ships and crew retain certain protections under maritime laws.

The Trump administration's actions, tethered to Washington's interests, may be undermining the promise of strategic frameworks. For India, internally, it raises political questions for justifying its strategic partnership with the US and could roil sentiments. Externally, the Trump administration seems to be doing nothing right to an already strained bilateral relationship. If Marco Rubio's visit to Delhi last month was an exercise in papering over differences, the killing of three Indians could very well wipe the gains.

The writer is visiting fellow, ORF America, and deputy director, Strategic Studies Programme, ORF

Trump administration's actions, tethered to Washington's interests, may be undermining the promise of strategic frameworks

Urea price crash opens window for reforms

IN MID-February, 10 days before the United States-Israel strikes on Iran, the state-owned Rashtriya Chemicals and Fertilisers contracted about 1.3 million tonnes (mt) of urea imports at a landed price of \$508-512 per tonne. Two months later, that price nearly doubled to \$935-959 per tonne for a 2.5-mt import tender of Indian Potash Ltd. However, National Fertilisers Ltd's latest tender for import of 1.7 mt, which opened on June 8, saw bids as low as \$444.9-449.3 per tonne. The price crash — to below pre-War levels — comes amid a partial lifting of export restrictions by China and fading fears of prolonged war-induced supply disruptions. Contrast this with the situation till early this month, when the Centre's fertiliser subsidy bill for 2026-27 was projected to touch Rs 3,40,000 crore, as against the budgeted Rs 1,70,799 crore.

It's not clear if the above price drop is a one-off affair, triggered by hopes of a US-Iran deal to reopen the Strait of Hormuz, through which roughly a third of the globally traded fertiliser products passed prior to the conflict. The expectation of global supply chain pressures easing has been combined with El Niño conditions developing in the equatorial Pacific Ocean and the US National Oceanic and Atmospheric Administration predicting it to become a "very strong" event by October. El Niño, to the extent it moderates fertiliser demand in key agricultural regions of the world, will add to the weakening of price pressures from supply-side relief. That matters for India, not the least because much of its fertiliser requirement — whether in finished form or as raw materials and intermediate chemicals — is imported. In 2025-26, the country imported \$27.2 billion worth of fertilisers and inputs. The current fiscal could see that surpass the record \$33.4 billion of 2022-23, post Russia's invasion of Ukraine. The exchequer outgo on subsidy is over and above.

The Narendra Modi government should view the cooling of global fertiliser prices as a temporary reprieve. It provides the space for carrying out much-needed reforms in India's farm subsidy architecture. This newspaper has for long argued in favour of shifting from market-distorting product-specific subsidies — be it for inputs (fertilisers, water and electricity) or crops (through minimum support prices disconnected from demand and supply) — to direct farm income support. Farmers should grow what the market wants. And they must do so efficiently, which means paying the scarcity value of water, energy and imported inputs. The goal of reforms is to nudge them in this direction, unlike ad hoc interventions that only kick the can down the road.

The Ideas Page

MONDAY, JUNE 15, 2026

Innovation is strategic necessity. Country must incubate technologies world uses



N CHANDRASEKARAN

THE VEDICHymn “*Aanobhadra krtavo yantu vishwatah*” (Let noble thoughts come to us from all directions) has guided India’s civilisational openness to knowledge. Today, it finds urgent expression in innovation.

Technology has become the currency of national sovereignty. A nation’s freedom in trade, security and diplomacy is increasingly determined by its position in critical technology value chains. For India, innovation is a strategic necessity, a bridge between aspiration and execution. It must expand access for citizens, raise competitiveness for enterprises, reduce strategic vulnerability for the nation, and create capabilities the world cannot easily replace. It is central to Viksit Bharat.

One of the most significant shifts of the last decade has been Prime Minister Narendra Modi’s sustained emphasis on making innovation a national mission. Initiatives such as Startup India, IndiaAI Mission, ANRF, iDEX, BIRAC, IN-SPACe, Semicon India, Atal Tinkering Labs and the RDI Fund have built an institutional architecture for innovation, signalling that frontier technology is central to national development. Our higher education institutions, such as the IITs and IISc, supported by the Ministry of Education, are ready playgrounds for deep-tech talent and function as powerful incubators.

India’s first innovation decade built the runway. It widened participation through startups, incubators, digital public infrastructure, research missions, student hackathons and new capital pathways. The next decade must build mastery. We are innovation-dense; we must now become innovation-deep. Progress must be measured by capabilities mastered, critical dependencies reduced, global value chains entered with strength, and lives improved at scale.

India has demonstrated exceptional strength in applying and adapting technol-

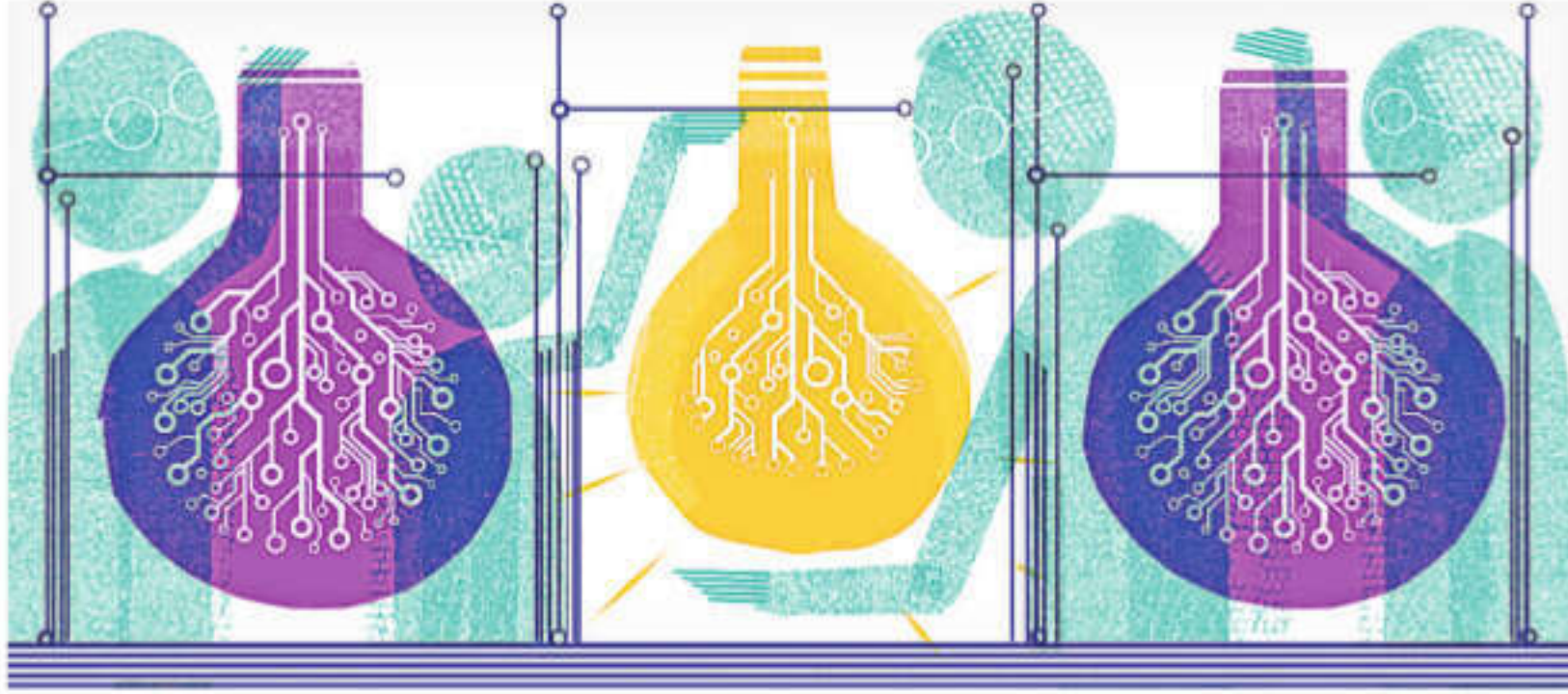


ILLUSTRATION: C R SASIKUMAR

ogy. The next frontier is origination: Owning critical IP, controlling supply-chain chokepoints, building component depth, setting standards, and creating platforms that others build upon. India’s industrial R&D intensity is low by international standards. We must move from using the world’s technology well to building technologies the world uses. In every priority sector, we should ask: Do we own the science, the design, the data, the IP, the manufacturing process, the standards and the customer access?

For India’s next phase of innovation, the relationship between policy and market forces must be sequenced and calibrated to sector maturity. In nascent frontier sectors, policy must create anchor demand and absorb certain developmental risks. iDEX proved this: Structured procurement catalysed a defence innovation ecosystem that would not otherwise have existed. As sectors mature, industry must lead, while policy fills the gaps markets leave through long-horizon research, common standards and shared infrastructure that no single player can fund.

As India focuses on technology innovation for strategic sovereignty, we need to keep in mind that it does not mean technological autarky. Given India’s starting point, its national interests are best served through deep partnerships with like-minded nations offering complementary strengths. These are not concessions of ambition. They are a design principle for reaching the frontier faster,

We must also confront technology’s double edge. AI can compress decades of progress in diagnostics and governance. Deployed without careful design, it can also disrupt work, amplify bias and deepen inequality

squarely in India’s enlightened self-interest. Strategic sovereignty means collaborating from confidence, not dependence. The India-France Year of Innovation is a template: Build mastery openly, selectively, based on mutual strength.

India’s large enterprises have a significant role to play in driving innovation beyond being first customers of the startup ecosystem. It is much more comprehensive: Investing in R&D, co-innovating with startups, integrating startups and MSMEs structurally into supply chains, making strategic investments in startups, and deploying engineering rigour, quality systems and global market access in service of the broader ecosystem.

At Tata Group, as we deepen our footprint in semiconductors, artificial intelligence, defence, clean energy and digital infrastructure, we are making the startup and MSME ecosystem integral to our growth. In every complex domain, the unit of innovation is not a product; it is an ecosystem. A semiconductor strategy needs design, materials, packaging and customers moving in concert. An electric vehicle needs a battery, charging network, software and financing to move together. Large companies that build with this understanding pull an entire ecosystem forward.

India cannot build mastery everywhere. The discipline is this: Apply rigorous criteria. What are the core socio-economic problems that need to be addressed — access to quality healthcare and educa-

tion, sustainability, energy and food security? Which domains have irreducible domestic demand, providing a captive proving ground? Where do India’s talent and cost structure create advantages that others cannot replicate? Where does import dependence create genuine strategic exposure, becoming a lever an adversary could use in a crisis? Where is a technology young enough for near-parity competition? India’s goal: To identify the domains where the world cannot easily operate without us. For this, we need to concentrate innovation energy.

We must also confront technology’s double edge. AI can compress decades of progress in diagnostics and governance. However, deployed without careful design, it can also disrupt work, amplify bias and deepen inequality. India’s model must be net positive by design, augmenting capability, creating new jobs, and ensuring that the transition does not burden the weakest sections. The transition must be planned and managed with empathy through structured reskilling and redeployment, while ensuring that India does not lag in competitiveness.

Bharat Innovates 2026, organised by the Ministry of Education in France, is a declaration that India’s most ambitious innovators are ready for the world’s most demanding stage. More importantly, it is a collaboration bridge connecting Indian startups and research institutions with global investors, corporates, universities, research institutions and markets. Its promise is not only that the world will see what India is building, but that global partners will ask: What can we build with India?

To young innovators, researchers and entrepreneurs, the conditions have never been better. India is the world’s most concentrated laboratory for consequential innovation, where the hardest problems of human development and technological self-reliance must be solved together at a billion-person scale. The innovator who solves for India’s problems solves for much of the world. That is not a burden. It is the most powerful innovation brief on earth.

India’s innovation story will be written by a generation that chose mastery over mere participation, depth over dispersion, and purpose over convenience. That generation is ready. The moment is now.

The writer is chairman, Tata Sons



BIJAYALAXMI NANDA, NUPUR RAY AND SHAMBHAVI MANI

After 16 years, Census could tell several new stories

THREE HUNDRED million enumerators will knock on doors all over the country for the first time in 16 years to conduct the world’s largest head count. The sheer amount of change that the Census will document is going to be phenomenal, particularly for socio-economic and demographic indicators. While we wait for this, let’s examine the trends that have already been captured by other surveys.

India’s maternal mortality ratio (MMR) stood at 93 as per SRS 2021, a decline of 86 per cent compared to the global reduction of 48 per cent over the past 33 years (PIB, May 10, 2025). It has further come down to 88 (Special Bulletin on MMR in India 2021-23, RGI). Various policy interventions have been credited for this achievement. However, while states like Gujarat, Maharashtra and Tamil Nadu have already met the UN-SDG MMR target of less than 70 per 1,00,000 live births, others like Madhya Pradesh, Assam, and Uttar Pradesh are still struggling. Census 2027, cross-referenced with health system data, will enable district-level maternal mortality mapping. This will allow policies to be targeted more precisely.

The demographic transition process reveals that socio-economic development positively impacts mortality, and the statistics for infant and child mortality rate

It is the first time in independent India that caste-based data will be collected. It is expected to be a detailed catalogue of declared castes, cross-referenced with socio-economic indicators

also confirm it — it declined from 39 in 2014 to 27 in 2021. The neonatal mortality rate has declined from 26 in 2014 to 19 in 2021. The under-five mortality rate has declined from 45 in 2014 to 31 in 2021. This highlights improvements in health infrastructure and policy interventions. Although the Census 2027 is likely to confirm continued improvements in aggregate, it is the state-by-state and district-level pictures which will matter.

The 2011 Census recorded child sex ratio: 919 females per 1,000 live births, a decline from 927. This was attributed to intense son preference and misuse of NRTs (New Reproductive Technologies). To curb this, the state had a dual response of the PC-PNDT Act on the supply side, and conditional cash transfer schemes incentivising the birth and survival of girl children on the demand side.

The NFHS 5 data shows a glimmer of hope where the sex ratio at birth for children born in the preceding five years was 929 females per 1,000 males, and the sex ratio of the population was estimated at 1020. Interventions like Beti Bachao Beti Padhao showed measurable improvements in some areas. However, the Census 2027 will provide an authoritative picture.

India has witnessed concerted efforts in achieving higher enrolments at all levels of education. With policies such as Sarva Shiksha Abhiyan and Beti Bachao Beti Pad-

hao, there has been emphasis on girls’ education. Yet, Census 2027 is expected to reveal an adult literacy gap, since as per available data, 14.4 per cent overall literacy gap between men and women persists, concentrated in rural pockets. Another issue will be digital literacy. The gender digital divide is emerging as the next frontier of inequality.

Although female labour force participation has seen major improvements, the gender gap remains. Although the Census will not replace the PLFS as the primary source of labour force data, it will provide an updated population denominator with its questions on occupation, offering a comprehensive picture of India’s labour market.

It is the first time in independent India that caste-based data will be collected. It is expected to be a detailed catalogue of declared castes, cross-referenced with socio-economic indicators. This will allow for a much more nuanced picture of where disadvantages are concentrated, enabling targeted policies and reservation frameworks. The Census will indicate the transformative progress in human development indices. For policymakers, researchers, and citizens, it is a mirror that India has been waiting for.

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IRAN-U.S.
'DRAFT MoU'

A senior Iranian official told *Reuters* a final draft of the MoU with the US covered a range of issues, from Tehran's nuclear work to reopening the Strait & US waivers on oil sanctions. The official claimed the draft memorandum included the following:

STRAIT OF HORMUZ

- Iran immediately reopens the Strait of Hormuz to all commercial vessels, while the US lifts its naval blockade on Iranian ports.
- The lifting of the US blockade would begin immediately after the memorandum is signed and be completed within 30 days.



FINANCIAL

- The US agrees not to impose any new sanctions on Iran until a final deal is reached.
- Following a final agreement, all US and UN sanctions on Iran would be lifted according to an agreed timetable.
- Washington, in coordination with its regional allies, would prepare a reconstruction and development plan for Iran, to be negotiated and agreed with Tehran within 60 days.

- The US will waive oil sanctions on Iran for a specified period, allowing Tehran to sell oil and receive revenue.
- The US agrees to release \$25 billion of Iran's frozen assets, including via direct cash transfers.



NUCLEAR

- Tehran agrees that it will neither produce nor acquire nuclear weapons.
- Pending a final agreement, Iran would maintain the current status of its nuclear programme, refraining from further uranium enrichment.
- The US agrees to allow Iran to dilute its stockpile of highly enriched uranium on Iranian soil under a future comprehensive agreement.

- Iran's nuclear programme, uranium enrichment activities and mechanisms for handling its stockpile of highly enriched uranium would be negotiated within 60 days of the memorandum and addressed in a final agreement.

REUTERS



U.S. PRESIDENT TELLS PUTIN IRAN WAR DEAL IS CLOSE, WILL SOON BE PUBLIC

Ending Ukraine war is vital, Trump tells Putin, Zelenskyy

Witkoff, Kushner to visit Moscow, says Ushakov

Reuters

Moscow, Kyiv, June 14

US PRESIDENT Donald Trump told Russian President Vladimir Putin on Sunday that ending the conflict in Ukraine was vital and he was ready to help, Russian news agencies quoted Kremlin foreign policy adviser Yuri Ushakov as saying. "As regards the Ukrainian conflict, Donald Trump again emphasised that a cessation of hostilities was vital," Ushakov said.

"He said he was ready to act with European partners and Kyiv, including in talks at the G7 summit," he added.

Ushakov said US envoys Steve Witkoff and Jared Kushner, who have led the negotiations aimed at ending the Ukraine war, would soon be undertaking another visit to Russia. Diplomatic efforts on ending the Ukraine war have stalled as Washington remains focused on the conflict in Iran.

During their phone conver-



President Donald Trump with Ukraine's President Volodymyr Zelenskyy at Mar-a-Lago club in Florida on December 28, 2025. FILE

sation on Sunday, Trump and Putin discussed the latest diplomatic efforts to reach an agreement on the Iran conflict, Ushakov said.

"The situation around the memorandum between the US and Iran was discussed," Ushakov was quoted as saying. "Donald Trump said an agreement was close and he expects that the results of the difficult but ultimately successful negotiations can be made public."

Ushakov also said Putin congratulated Trump on his 80th birthday in an "informal" way.

Earlier, Ukrainian President Volodymyr Zelenskyy said on Sunday that he had spoken to Donald Trump and discussed efforts to achieve an end to the more than four-year war.

Zelenskyy, writing on Telegram, said he had wished Trump a happy 80th birthday and thanked him for the assistance provided by Washington throughout the conflict.

"I wished President Trump every success, first and foremost in his efforts to end Russia's war against Ukraine," Zelenskyy said.

"We talked about what could help to bring peace closer right now, and I updated the president on the latest developments on the battlefield and how our position has strengthened," he said. "We have some good ideas that could help bring peace closer."

US-brokered talks aimed at moving towards an end to the war have stalled as Washington remains focused on the conflict in Iran. However, Zelenskyy has said in recent weeks that a shift in momentum on the battlefield in Ukraine's favour has opened a window of opportunity to reach a peace deal.

In an open letter to Vladimir Putin this month, Zelenskyy also called for face-to-face talks to try to secure a ceasefire. The leaders of Britain, France and Germany said in a statement after talks with Zelenskyy in London last weekend that they supported his proposal, and Europe would play a role.

Putin has said he sees no need to meet Zelenskyy and that Russian forces are advancing on the battlefield. He has maintained his call for Ukraine to cede further territory in return for peace, something Kyiv has staunchly refused.

Basmati rice exports slip nearly 25% in March, Apr amid West Asia tensions

Shipments to China went up by 200% in March, reaching a value of nearly \$1 million

Ravi Dutta Mishra
New Delhi, June 14

BASMATI RICE, one of the country's largest export items to West Asia, is taking a severe hit from the regional crisis. According to the data released by the Commerce and Industry Ministry, its exports have slipped nearly 25% due to a sharp decline in shipments to Gulf countries in the backdrop of the crisis.

Dragged by a decline in exports to countries such as Iraq, Iran, Qatar, and Saudi Arabia, India's total basmati rice exports slipped 27.4% in March and 20.9% in April. Cumulative exports in March and April slipped by 24% to \$838.34 million this year compared to \$1105.36 million last year, official data showed.

Industry executives said India exports nearly 60 lakh tonnes of basmati, out of which nearly 40 lakh tonnes go to the Gulf region.

The five leading basmati import destinations are in West Asia — Saudi Arabia, Iran, Iraq, UAE, and Yemen — and account for about 50% of the country's total exports.

Data showed that basmati exports to Iraq, Bahrain, Iran, and Qatar were the most affected during March and April, slipping between 50%-90%.

However, shipments to Saudi Arabia and Israel could be improving as there was a less steep decline in April compared to March.

Trade data indicated that basmati exporters may be shipping to various countries via Jordan, as shipments jumped several-fold. According to April figures, Jordan has

• Basmati rice export trends in April

Destinations where exports slipped			
COUNTRY	2025 (\$ MN)	2026 (\$ MN)	EXPORT DECLINE (%)
Iran	98.40	29.60	69.92
Iraq	70.10	6.28	91.00
Saudi Arabia	106.10	79.10	25.47
UAE	45.10	30.60	32.00
Destinations where exports jumped			
COUNTRY	2025 (\$ MN)	2026 (\$ MN)	EXPORT JUMP (%)
Jordan	8.78	67.40	667.46
UK	10.60	19.09	80.13
Oman	7.80	12.90	65.40
Italy	5.50	9.17	66.90

SOURCE: COMMERCE AND INDUSTRY MINISTRY

emerged as India's second-largest export destination.

Its share of 15% in basmati exports is only second to Saudi Arabia, which alone imports nearly 18% of the country's basmati.

Pivot to new markets; China as an alternative

Exporters have also managed to find buyers elsewhere, particularly in the UK, Italy and Netherlands where shipments in April alone went up by 80%, 67% and 18%, respectively.

Exports to Oman also went up by 65% as Omani ports mostly fall outside the Strait of Hormuz. However, exporters are facing regulatory challenges as they scout for new markets in the backdrop of the West Asia crisis.

Amid the ongoing tensions, Indian exporters are also increasingly exploring China as an alternative, as Beijing has begun stepping up imports of food and raw materials from India since the US imposed steep tariffs.

However, China recently rejected several Indian basmati rice shipments after finding genetically modified organism (GMO) material.

According to an Agricultural & Processed Food Products Export Development Authority (APEDA) notification, exporters are now required to test five specific genetic elements and are required to conduct testing at

a specific APEDA-recognised lab, which can be scoped for GMOs.

This comes as basmati exports to China are going up. Export to China jumped 155% to cross \$1 million in April.

Basmati rice shipments to China had also gone up by 200% in March to nearly \$1 million. Meanwhile, exports to Hong Kong also jumped over 150% in April.

Impact on Punjab, Haryana

A sustained disruption in exports to the West Asia region could have a detrimental impact on Punjab and Haryana, which produce nearly 70% of India's rice, particularly as the availability of fertilisers has already become a challenge for the region.

The Indian Express reported that farmers across five states, including Punjab and Haryana, protested on June 8 against what they claimed were inadequate supplies of urea and diammonium phosphate (DAP) fertilisers, as the paddy sowing season begins.

In Punjab alone, demonstrations were held at 74 locations under the banner of the Kisan Mazdoor Morcha (KMM).

Punjab BJP President Sardar Kewal Singh Dhillon also wrote to JP Nadda, Union Minister for Chemicals and Fertilisers, urging the government to ensure uninterrupted and timely supply.

Behind RBI's return to 'terrible' 2013 idea to lift foreign inflows

Siddharth Upasani
New Delhi, June 14

SOMETIMES, THE worst ideas are the best.

Speaking in August 2016, just before his term as Governor of the Reserve Bank of India (RBI) was to end, Raghuram Rajan said there were multiple ideas the authorities were considering to attract foreign money in August-September 2013 amid the taper tantrums caused by the speculation around tightening of monetary policy by the US Federal Reserve. "However, there was one that I found completely idiotic. I thought this was a terrible, terrible thing to do."

That idea was the swap scheme for banks' Foreign Currency Non-Resident (Bank) deposits, or FCNR(B) deposits: banks would get a 3.5% subsidy on the foreign funds they raised through these deposits. This allowed banks to offer attractive interest rates to those abroad and the facility ended up being wildly successful, resulting in an inflow of \$26 billion and helping turn around investor confidence in the rupee and India.

But it was not always clear it would do the job. In fact, not only did Rajan think it was "idiotic" and "terrible", but a clever suggestion from bankers to get the RBI to pay for the exchange rate risk these deposits entailed. Such were his misgivings that he even asked the outgoing Governor, D Subbarao, to announce the swap scheme before his exit on September 4, 2013.

"The morning that I was going to take over, I went to Dr Subbarao and said 'would you like to announce it?' He was gracious enough at that point to say 'no, you go ahead'. And now I get the credit for that idea which actually I neither invented nor actually believed in," Rajan said in August 2016.

Now, nearly 13 years later, the FCNR(B) swap scheme is

• FCNR(B) SCHEME

● In the 2013 swap scheme for banks' Foreign Currency Non-Resident (Bank) deposits, banks got a 3.5% subsidy on foreign funds they raised through these deposits

● This allowed banks to offer attractive interest rates to those abroad and the facility resulted in an inflow of \$26 billion, helping turn around investor confidence in the rupee and India

back. And while the removal of the capital gains tax on Foreign Institutional Investors' (FIIs) investments in government bonds as well the withholding tax has captured much of the imagination, it is this swap scheme that will do much of the heavy lifting when it comes to bringing in foreign inflows.

"... the same scheme mobilised ~\$26 billion of flows in 2013, and that was 1.4% of GDP in that year (FY14). We believe a similar quantum may be raised this time, and that translates to roughly \$50 billion of flows," ICICI Securities Primary Dealership economists led by A Prasanna said in a note on June 7, adding that they expect around \$100 billion of inflows over a period of 12-24 months from all the measures that were announced on June 5 by the government and the RBI.

The FCNR(B) swap scheme is even more potent this time around. In 2013, the RBI provided a 3.5% subsidy to banks. Now, it will fully bear the exchange rate risk on new 3-5-year deposits mobilised till September 30.

"Current FCNR (B) Rate is ~3.35% (3 years). Presently cost of hedging, forward premium is ~3.5%. Current Card rate for a 3-year deposit is 6.5%. Banks can thus offer attractive FCNR (B) pricing in the range of 5.5% and upwards (US treasury rates at ~4% of equivalent duration). Taking an annual hedging cost



RBI will bear entire exchange rate risk on new 3-5-year deposits till Sept 30. REUTERS

at ~2.5%, the total outgo comes to ~12.5% for a 5-year tenor, implying \$125 million cost embedded per billion (dollars) raised," Soumya Kanti Ghosh, Group Chief Economic Adviser at SBI, said on June 5.

It is this estimated \$125 million cost (this time around) that changed Rajan and the RBI's thinking back in 2013. The cost of hedging for the RBI is high only if a lot of money comes in — but if a lot of money does come in, the rupee would appreciate. And a stronger rupee would not only reduce the hedging cost for the RBI but also reduce India's import bill.

"Think of having a stronger currency relative to an undervalued rate of about Rs 3-4, multiply it by \$400 billion in imports. That would mean Rs 1.6 trillion in savings (per year) if we only stabilise the currency," Rajan had remarked.

The savings from a stronger rupee would be much greater now considering India's import bill in 2025-26 was \$775 billion.

The government and the RBI have blown the steps taken in 2013 out of the water and delivered a 'Balance of Payments (BoP) package' that has exceeded market expectations; so much so that economists now expect India to have a surplus or near-zero BoP from earlier expectations of a deficit of around \$60 billion and even higher in some cases.

FULL REPORT ON
WWW.INDIANEXPRESS.COM

Bank of Baroda targets \$3 billion via FCNR(B) scheme

Christina Titus
Mumbai, June 14

BANK OF Baroda is targeting to raise \$3 billion through Foreign Currency Non-Resident (Bank), or FCNR(B), deposits after the Reserve Bank of India (RBI) introduced measures to draw foreign currency inflows and support the rupee, a senior official told *FE*.

"Considering the bank's market share of around 5% and its strong overseas presence across key NRI corridors, the bank is targeting mobilisation of FCNR(B) deposits in the range of \$3 billion during the scheme period," the official said.

The expected inflows to the banking industry under the FCNR(B) deposit scheme are estimated to be in the range of \$40-

45 billion, the official added.

On June 5, the RBI announced covering full hedging cost for FCNR deposits, along with a slew of other measures to attract foreign inflows and support the rupee. With enabling leverage, banks now expect higher inflows compared to earlier estimations.

The official further said that given the current market environment, including the narrower interest rate differential and availability of alternative investment opportunities, the scheme is expected to generate a leverage effect of approximately 5-7 times.

According to reports, Punjab National Bank is targeting \$2.5-3 billion in FCNR(B) deposits, while Canara Bank expects to mobilise \$105-210 million through the route. **FE**



• ECONOMY

India’s push beyond E20 fuel: Reasons, and pitfalls



ANIL SASI

THE CENTRE last week exempted higher ethanol-petrol blends (22%-30% ethanol) from central excise duty, putting their tax treatment on a par with the 20% ethanol blend (E20) that’s the standard at pumps.

The government has also proposed amendments to recognise 85% ethanol-blended fuel and 100% ethanol fuel under the Central Motor Vehicles Rules.

Both measures signal the government’s intent to prepare the country’s vehicular and fuel ecosystems for the next stage of ethanol adoption. But they have differing implications.

The first measure — the transition from E20 fuel to higher blends — is aimed at most petrol cars.

The second move — the draft amendment to recognise E85 and higher fuel — targets an entirely new category called flex fuel vehicles. Such vehicles are designed to operate on varying blends of petrol and ethanol but are still some way away from being widely introduced to the Indian market.

For now, it is the first proposal that has caused concern among carmakers and motorists — especially considering their experience with the initial transition to the E20 ethanol blend from E10.

The problems for consumers...

Last year, India achieved 20% ethanol blending in petrol, five years before target. E20 fuel, denoting 80 parts petrol to 20 parts of ethanol, is now the standard petrol variant nationwide.

For people with vehicles E10-certified or older, the transition to E20 came in just three years, with little warning of the pitfalls.

There are multiple problems with using a higher ethanol blend in petrol for engines not designed for them.

ENGINE DAMAGE: Ethanol has a higher content of water, which is corrosive. So, E20 or higher ethanol blends could damage the parts of the internal combustion engine (ICE). This is especially true for older engines and the ones used on two-wheelers, where high-grade aluminum or steel casts are not used for the engine block.

MILEAGE: Many customers had flagged a drop in mileage after the E10 to E20 shift. The drop could be between 5-12%, depending on when the car was manufactured. The

• HOW A FLEX FUEL CAR IS POWERED

THE ECM: Controls the fuel mixture, ignition timing, and emissions system; detects and troubleshoots problems.

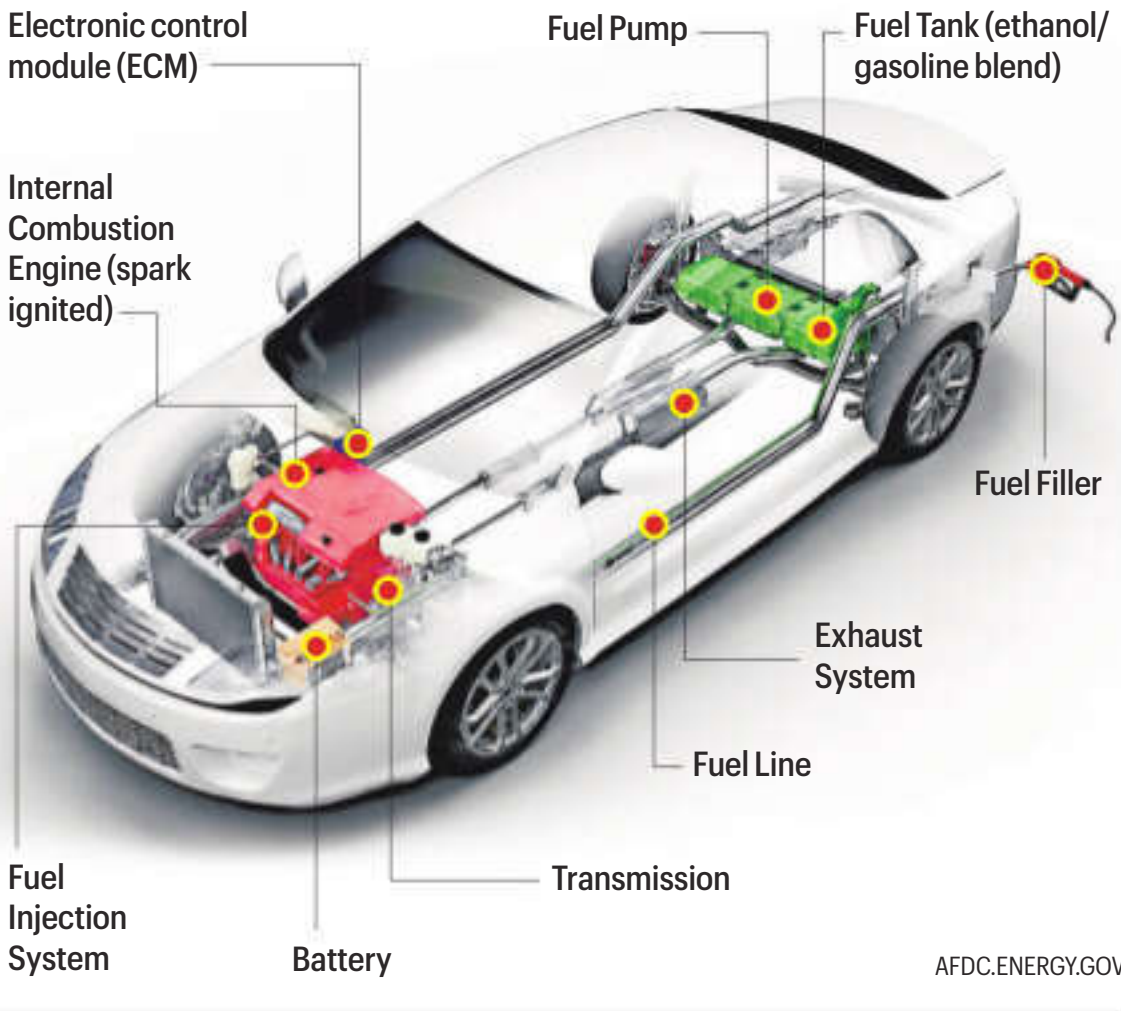
FUEL FILLER: A nozzle from a fuel dispenser attaches to the receptacle on the vehicle to fill the tank.

FUEL INJECTION SYSTEM: Introduces fuel into the engine’s combustion chambers for ignition.

FUEL LINE: A metal tube or flexible hose (or a combination of these) transfers fuel from the tank to the engine’s fuel injection system.

FUEL PUMP: A pump that transfers fuel from the tank to the engine’s fuel injection system via the fuel line.

FUEL TANK (ETHANOL/ GASOLINE BLEND): Stores fuel on board the vehicle to power the engine.



Petroleum Ministry, however, has said that the drop in mileage would be “marginal”.

THE ONLY OPTION: Vehicle owners in India currently do not have an option to choose different fuels at the petrol pump, unlike their counterparts in Brazil — a country that has successfully and structurally integrated ethanol with its automobile ecosystem. Brazilian law, unlike India, also provides for a discount for higher ethanol blends.

IGNITION ISSUE: Regular ICE cars running on higher ethanol blends are hard to start on winter mornings because ethanol burns at a higher temperature than petrol.

EXPONENTIALLY WORSE PERFORMANCE: While a fuel with 10% ethanol (E10) makes little difference to a car’s performance, anything above is said to cause problems in engines not specifically built for it. And this performance worsens exponentially as the blending levels increase. The Petroleum Ministry has said that these concerns around higher ethanol blends are not backed by “scientific evidence”.

A senior technical expert at a major automaker acknowledged that there are no conclusive studies on the long-term impact of blended fuel on non-compliant vehicles. But the expert also said it could definitely have an impact on the engine’s life, its various rubber parts, valves and piston heads, among others.

“In case of this new transition too, the

Brazil’s way

Brazil’s ethanol programme, which kicked-off in the 1970s, was in response to the uncertainties of the oil market.

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At nearly every petrol pump in Brazil now, people have the option to either choose between blended petrol, which typically includes 27-32% ethanol, and E100, which is pure hydrous ethanol. Brazil also got carmakers to usher in flex fuel cars.

consumer will likely end up bearing the brunt of any drop in fuel efficiency. For older vehicles, there is the added question over vehicle damage due to the high ethanol mix. That too is left to the consumer,” a representative of an auto manufacturing association said.

...and for automakers

The E25 transition will require additional engineering and validation work around engine calibration, fuel-system durability, corrosion resistance and material compatibility. All this, just months after the E20 transition.

Vehicle costs will increase and likely fall on the consumer.

Carmakers have called for greater policy clarity and alignment before higher ethanol blends can be rolled out at scale.

Beyond that, in private, they’re willing to talk about some anomalies in this E20 to E25 transition.

“Some of the concerns have been conveyed, especially through (auto) industry representatives. Indications are that the transition towards a base fuel having a higher blend of ethanol (above E20) is likely to happen, alongside the progressive roll-out of the E85-E100 fuels,” a senior auto industry executive told *The Indian Express*.

Oil marketing companies (OMCs) such as Indian Oil and Bharat Petroleum, too, will face challenges. A government source

• DEFENCE

AN-32: Soviet-origin transport aircraft, the IAF’s workhorse

Amrita Nayak Dutta
New Delhi, June 14

FIVE PERSONNEL of the Indian Air Force (IAF) were killed Saturday when a military transport aircraft, the Antonov AN-32, crashed during landing at Jorhat in Assam. One other person on board the aircraft has been rescued and is undergoing treatment.

This is the third major crash of an AN-32 over the past decade. The two other crashes have killed 42 IAF personnel.

What is the AN-32?

Bought in 1984 from the erstwhile Soviet Union, the AN-32s have served as the IAF’s critical workhorse. The IAF has employed it as a tactical transport aircraft since its induction into the force.

The AN-32 is a twin-engine turboprop aircraft and can carry a maximum weight of 27 tonnes at a maximum speed of 530 km per hour. It can carry up to 6.7 tonnes of cargo or 50 passengers, making it the pre-

ferred choice for transport of men and cargo across different terrain.

The aircraft can cover small to medium ranges and can operate from far-flung airfields with minimum ground infrastructure, enabling it to play critical roles during a conflict, especially in the mobilisation of men and material and with its limited bombing role.

It has also been used for paratrooping operations. During the Kargil War with Pakistan in 1999 and subsequently in Operation Parakram in 2001-02, it played a critical role in transporting personnel and cargo to border areas through multiple sorties.

Modernisation programme

After an AN-32 crashed in 2009, India signed a \$400-million contract with Ukrainian manufacturer Antonov to upgrade most of the IAF’s 105 AN-32s through overhaul of airframes and turboprop engines. The programme also involved fitting the platforms with advanced navigation



The Antonov AN-32.
WIKIMEDIA COMMONS

and communication equipment.

The programme, however, stalled after Russia formally annexed the Crimea region in 2014. Subsequently, India and Ukraine agreed to resume the upgrades, with Kyiv having developed some alternatives to the Russian-made systems on the aircraft. The upgrade was under way at the IAF’s base repair depot (BRD) in Kanpur, with equipment transferred from Ukraine. About half

of the planes had been modernised in Ukraine, and 38 have been at the BRD.

Safety record

The AN-32 is considered among the most reliable transport aircraft in the IAF’s inventory. But the crash in Jorhat is the third major one since 2016.

On July 22, 2016, an AN-32 went missing while flying over the Bay of Bengal, from Tambaram Air Force Station, Chennai, to Port Blair, killing 29 people on board. The wreck was traced years later.

Then on June 3, 2019, an AN-32 crashed in the hilly terrain when it was heading to Mechuka in West Siang district of Arunachal Pradesh, near the border with China, killing 13 people on board. The wreck was found over a week after the aircraft went missing.

There was another major crash on June 10, 2009, when an IAF AN-32 crashed at around the same place in Arunachal Pradesh, killing all 13 people on board.

• ARTIFICIAL INTELLIGENCE

‘Site of aspiration and exploitation’, what India needs to guard in AI growth path



EXPERT EXPLAINS
PETRA MOLNAR

LAWYER AND ANTHROPOLOGIST WHO STUDIES AI AND SURVEILLANCE

ARTIFICIAL INTELLIGENCE (AI) is increasingly being framed as a route to economic growth, strategic autonomy, and national power. But what happens when the costs of that ambition are borne by workers, communities and public resources that remain largely invisible?

The “AI Resist List” seeks to answer that question. The project documents global efforts to challenge and reshape the growing influence of AI across areas ranging from

labour and data extraction to surveillance and digital infrastructure.

Petra Molnar, who is part of the project, told *Anagha Jayakumar* why narratives of AI-driven growth can obscure questions of accountability.

Many countries, including India, are embracing AI as a pathway to growth, competitiveness and national power. How did AI adoption become such a widely shared political goal?

The story of AI as a national imperative is, at its core, a story about the seductiveness of technological shortcuts. For governments navigating post-colonial legacies, widening inequality, and the anxieties of geopolitical irrelevance, AI offers a way to skip the messy, slow work of structural transformation and arrive at a future that looks like growth through algorithmic efficiency. The US and China modelled this playbook aggressively, and the pressure to follow has been enormous in the so-called AI Arms Race, with countries jostling for AI supremacy.

What the AI Resist List reveals is that this “AI as development” framing is itself a form of narrative power. It is one of the four pillars we document: Resist, Refuse, Reclaim, and Reimagine. The narrative infrastructure of AI — the stories told about what AI is for, who it serves, and what progress looks like — is as material as the data centres and chip supply chains. Countries like India have absorbed not just the technology but the idea that power in the 21st century requires AI dominance, and that resistance stands in the way of progress.

This framing obscures what drives these decisions: defence procurement interests, surveillance state consolidation, investor capture of public infrastructure, and the very concrete political utility of appearing modern and as an “AI Leader”.

The list breaks AI power into

interconnected pillars: labour, infrastructure, surveillance, data, and narrative. India appears in all of them. What does India’s position say?

India’s appearance across all the pillars is no coincidence. AI power is assembled through extraction at multiple levels, and no country is simply a victim or a beneficiary. India occupies a revealing position: it is simultaneously a site of exploitation and a site of aspiration.

On labour, India supplies much of the invisible workforce that makes AI systems legible. On infrastructure, data centres are being pitched as development anchors while drawing on scarce water and electricity. On surveillance and data, facial recognition systems, networked CCTV, and the vast reserves generated through Digital India raise significant questions about oversight and consent.

Thus, AI power is not assembled in Silico

con Valley and then shipped outward. It is assembled through relationships that are extractive and unequal. AI’s global supply chains depend on hierarchies that have structured capital for generations.

AI companies often present data centres and computer infrastructure as engines of development. What questions should communities and policymakers ask?

In my mind, the single most important question is: who bears the costs, and who receives the benefits? For example, data centres consume vast quantities of water for cooling and electricity that, in water-stressed and power-insecure regions, comes directly at the expense of households, farmers, and small businesses. The promised benefits of jobs, tax revenue and a stronger position in the digital economy are unevenly distributed.

Policymakers should ask whether commitments are binding, whether communities can refuse or renegotiate projects,

whether environmental and social impacts have been independently assessed, and whether data governance and technology transfer arrangements benefit locals.

India wants strategic autonomy in AI while remaining dependent on American chips, cloud providers and frontier models. Are genuinely sovereign AI ecosystems possible for countries outside the US and China?

The infrastructure that underpins AI, from frontier models to semiconductor supply chains, is so concentrated that formal sovereignty coexists with profound dependence. A country can localise data and build its own large language model while still relying on foreign cloud infrastructure and Nvidia chips subject to US export controls.

This is not a reason to abandon sovereignty as a goal, but it is a reason to be precise about what sovereignty would actually mean. The most achievable forms of AI sovereignty are about the capacity to regulate, audit, and refuse.

